Greenwoods
景 林

HFMWeek Asia Hedge Fund Awards 2019 Winner Long/short equity Greater China overall Greenwoods China Healthcare Fund

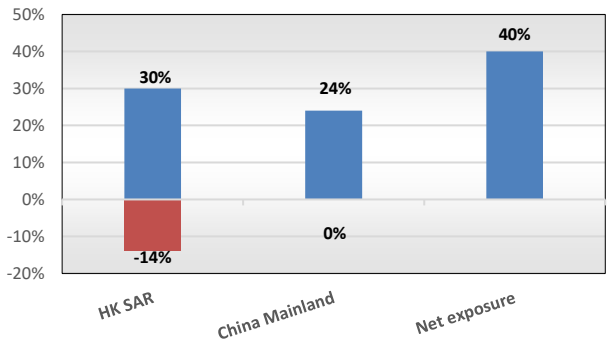
"Asiahedge China Fund of the Year 2018" award

Greenwoods China Healthcare Fund 景林中国医药健康基金月报

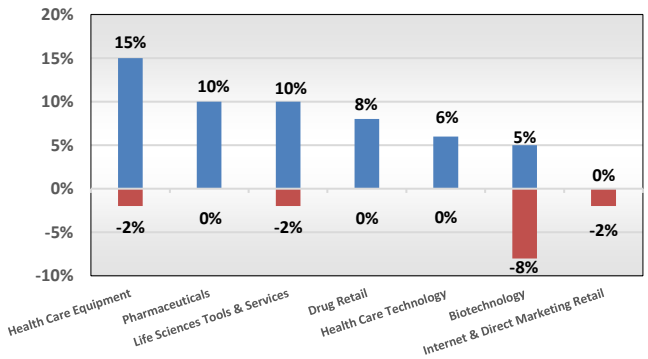
Monthly Highlight (月度表现概览)

Performance Statistics Analysis (%)	Greenwoods China Healthcare Fund Tranche A Shares	Greenwoods China Healthcare Fund Tranche C/D Shares	MSCI China Healthcare
Monthly Performance (Sep-2021)	-3.65%	-3.65%	1.95%
Year-to-Date Return	-11.61%	-11.61%	1.87%
Net Return Since Inception (Jun 2015)	144.14%	144.14%	91.15%
Annual Compounded Return (since Jun 2015)	15.13%	15.13%	10.77%
Beta (correlation)	-	-	0.45
Sharpe Ratio	0.71	0.71	0.35
Sortino Ratio	1.20	1.20	0.66

Portfolio Breakdown by Market (投资组合市场配置)



Portfolio Breakdown by Sector (股票组合行业分布)*



Based on definition of GICS Sector - Sub-Industries

Portfolio Summary（组合概况）

Long/short exposure (多空仓位)		Top 3 Sectors (long positions only) (多仓前 3 大行业)
Long Securities	54%	Health Care Equipment
Short Securities	14%	Pharmaceuticals
Net exposure	40%	Life Sciences Tools & Services

Monthly Net Performance (%) of Greenwoods China Healthcare Fund (Tranche A Shares) (景林中国医药健康基金 A 类别月度净收益率)

	Jan	Feb	Mar	Apr	May	Jun	Jul	Aug	Sep	Oct	Nov	Dec	YTD(年迄今)	MSCI China Healthcare YTD(年迄今)	Since Inception	MSCI China Healthcare Since Inception
2021	-0.85	-3.41	-5.13	10.71	2.00	-0.61	-6.05	-4.23	**-3.65**				**-11.61**	**1.87**	**144.14**	**91.15**
2020	-0.09	9.53	-14.16	4.23	7.58	12.81	-5.59	-0.95	-0.86	1.03	3.41	6.45	**22.52**	**60.99**	**176.22**	**87.64**
2019	-1.78	13.09	12.29	-0.02	-5.39	6.43	-0.98	2.34	-0.11	1.22	2.71	1.93	**34.70**	**37.60**	**125.44**	**16.56**
2018	7.44	0.31	10.48	-1.06	12.19	-3.40	-4.40	-1.46	-2.41	-9.09	5.90	-0.24	**12.72**	**-27.13**	**67.36**	**-15.30**
2017	-1.67	0.27	1.55	2.87	5.06	-0.18	-0.66	3.58	9.35	9.70	7.92	9.64	**57.75**	**56.38**	**48.48**	**16.24**
2016	-15.09	-3.26	6.18	1.99	-1.23	1.32	3.26	2.86	1.42	-0.95	1.46	-3.74	**-7.24**	**-5.90**	**-5.88**	**-25.67**
2015	-	-	-	-	-	0.53	-1.11	-4.49	-0.64	7.21	-1.76	2.13	**1.47**	**-21.01**	**1.47**	**-21.01**

Private & Confidential 内部资料 敬请保密 仅供合格投资者使用

Sectors of Top 5 positions（前 5 大持仓的行业）

Top 5 longs（前 5 大多仓）	Top 5 shorts(前 5 大空仓)	Top 5 Gainers（前 5 业绩贡献）	Top 5 Losers（前 5 业绩拖累）
Life Sciences Tools & Services	Biotechnology	Health Care Equipment (Long)	Life Sciences Tools & Services (Long)
Health Care Equipment	Biotechnology	Health Care Equipment (Short)	Health Care Technology (Long)
Drug Retail	Life Sciences Tools & Services	Biotechnology (Long)	Pharmaceuticals (Long)
Health Care Technology	Internet & Direct Marketing Retail	Biotechnology (Short)	Biotechnology (Short)
Pharmaceuticals	Health Care Equipment	Health Care Technology (Short)	Life Sciences Tools & Services (Short)

Monthly Review & Outlook (月度回顾和前景展望)

The net return of Greenwoods China Healthcare Fund Tranche A is **-3.65**% for September 2021 and **-11.61%** year-to-date, which is the same for Tranche C and D. During the period, the monthly and YTD return was 1.95% and 1.87% for the MSCI China Healthcare Index, respectively.

Portfolio Review and Outlook

China healthcare sector rebounded in September, in particular A shares, with CITIC-Prudential CSI 800 Medicine Index up nearly 5%. The rally was mainly driven by two most popular sub-sectors in A-shares – CRO and medical services, despite a broad decline for other sub-sectors of healthcare industry. Stocks, such as Topchoice Medical, Aier Eye Hospital, Hangzhou Tigermed and Asymchem Laboratories, rebounded 26-30% during the month. However, the Fund does not have any positions in these two sub-sectors as we believe that CRO and medical services stocks are facing increasing valuation risks in the long run, hence the Fund underperformed the market in September.

Since the second quarter, we have seen high volatility and sharp corrections in the healthcare sector. Given the weak performance of sub-sectors including pharmaceuticals, biotech, medical devices, medical aesthetics and vaccines, CRO and medical services have become a safe haven for many healthcare funds. Valuations of these two sub-sectors, in our view, may have reached a peak, as evidenced by recent performance of these two sub-sectors in October. We continue to stick to our long-term value investment approach and wait for appropriate opportunities to buy stocks that are reasonably or attractively priced from a long term fundamental perspective.

Policy Updates

On September 30, Guangdong Province issued a draft for soliciting comments on the Group Purchasing Organization (GPO) program of 153 drugs. The plan is to form a procurement alliance of ten provinces led by Guangdong and include Shanxi, Jiangxi, Henan, Guangxi, Hainan, Guizhou, Qinghai, Ningxia, and Xinjiang Provinces. Although it is not a national-wide GPO program, it already covers one-third of the country's market.

In terms of drugs, this regional alliance GPO targets a large number of categories that have not been included in the large-scale centralized procurement before, such as blood products, large infusions, growth hormones and exclusive varieties. The price cut for blood products is expected to be relatively mild, but for other categories, there are greater uncertainties. Most investors have been staying away from companies that face GPO risks, blood products related stocks, such as Hualan Bio, Tiantan Biological, Boya Bio-pharmaceutical and Pacific Shuanglin Bio-pharmacy, and growth hormone related stocks, such as Changchun High & New Technology and Anhui Anke Biotechnology, may see some short-term upside as overhang is removed, but these stocks are likely to have more uncertainties in the long term.

Companies Updates

Mindray Medical: On September 23, the company said it has completed the acquisition of 100% stake in HyTest for €532 Million. HyTest is a global leading raw material supplier for the IVD industry, and it has extensive expertise in raw material design, R&D and production. More than 1000 varieties of high quality raw materials for in-vitro diagnostics (IVD) tests are produced and sold each year, including myocardial markers, inflammation, tumor markers, infectious diseases and so on. Raw materials are one of the important determinants of reagent quality. After the acquisition, the self-research and self-production capacity of domestic high-end chemiluminescent raw materials will be strengthened. It is expected that the proportion of raw materials produced by Mindray will continue to increase in the future, the product quality will be gradually optimized, and the gross margin will also be improved.

Lifotronic Technology: On September 18, the company launched a stock option incentive plan to grant 16 million stock options to 334 employees, accounting for 3.79% of the total share capital. The strike price is RMB21 per share and exercise period is 12

months, 24 months, and 36 months from the first grant date, and the exercise ratios are 30%, 30%, and 40%, respectively. The company set the exercise performance condition that the year-on-year revenue and net profit growth for 2021, 2022 and 2023 is 30%, 23% and 19% respectively. The exercise price and performance target are higher than market expectations, demonstrating the company's long-term growth confidence.

Fund Strategy（基金策略）

Greenwoods China Healthcare Fund's principal investment objective is to seek to achieve attractive absolute long-term returns by employing a fundamental approach, through long and short investments in China-related equity securities in the healthcare and medical industry.

The Manager expects to focus primarily on long-biased opportunities in the equity securities of healthcare companies that are headquartered or principally engaged in business in, generating a substantial portion of their revenues from, or substantially impacted by developments within China. The Manager may invest in the equity securities of issuers that are organized or listed within or outside of China, including Hong Kong SAR, Singapore, Taiwan, and the U.S., on an opportunistic basis and/or if the Manager considers China to be a significant driver of the security's prospects.

Greenwoods adopts a combination of bottom-up and top-down approaches, and aims to implement both long and short strategies and trading tactics to invest in healthcare companies that it believes can benefit from China's favorable policies, or has strong product pipeline, solid R&D capability, high barrier of entry, good track records, sound financial position, motivated management, strong competitive advantage, in combination with compelling valuation.

Greenwoods may also sell short index futures and/or stocks of companies in the healthcare sector that it considers overvalued or exhibit vulnerability to regulatory changes, weak financial position, poor management, unfavorable competitive advantage, and low growth potential.

Once target companies are identified, Greenwoods perform deep and thorough due diligence and investigation utilizing local resources, under its proprietary due diligence system, 360DD, to ensure solid understanding of target companies' growth potential, SWOT, quality of accounting book, risks, as well as the character and capability of their senior management. Moreover, Greenwoods believes it has built an extensive network of advisors of macro policies and various industries, who have insights on China's policies and industry outlook than most financial analysts, and are more up-to-date on the changes. So Greenwoods believes its team has deep understanding of the macro trends, policy developments, companies' strengthen and risk, and senior management's capability before making long or short decisions.

To achieve extraordinary performance, the Fund offers options for investors to elect to invest into a class with a "side pocket" limit for less liquid securities, such as bonds, PIPEs, pre-IPOs, and private equities. Performance fee will NOT be charged on any side pocket investment until a side-pocket investment is realized. Investments into side pickets are not redeemable until the investments are exited or liquidated, so investors who expect to need full redemption when redeeming from the Fund should invest into the class without the side-pocket capability.

Potential Risks （潜在风险）

As an equity fund, the Fund involves high risks, and Fund managers do not guarantee the Fund's principal and return. Some of the risks described in the Fund's Private Placement Memorandum (PPM) are summarized below, which does not cover all the risks of the Fund. Different risks are discussed in more details in PPM's "Risk Factors" section and other sections. Potential investors should carefully evaluate all the risks described within PPM and should consult their investment, legal, and tax advisors regarding these risks before commencing into any investment decisions.

Risk of Political and Economic Instabilities

Political and economic instability, as well as wars, riots, terrorist attacks, natural disasters and epidemic outbreaks, and other systemic events may have adverse effects on Fund performance.

Market Risk

Market fluctuations, suspension of stock trading, restrictions on foreign investor investment in securities and other market risks may affect the performance of the Fund.

Concentration Risk

The Fund is focused on investments in the medical and healthcare sector, which is not as diversified as funds investing into more than one sector;

Short-selling Risk

As part of hedge Fund investment and trading strategies, the Fund can sell short securities. Short selling may theoretically involve unlimited losses, as theoretically the price of securities may rise without limit. The Fund does not guarantee that it will not suffer losses due to short positions, and if the short-selling results in losses, there is no guarantee that these losses can be offset by the gains of any long positions.

Leverage Risk

As a hedge fund, the Fund uses leverage from time to time in the long and short selling process. The PPM has set limits of leverage, while leverage can still enlarge the risk of the Fund.

Risk of Investment in Small-cap Stocks

The Fund can invest in med- and small-cap securities. Compared with the securities of large, listed companies, the securities companies that have obtained such securities have relatively little research coverage and the liquidity of the stock may also be relatively low.

Derivative Instruments Risks

The Fund may use derivatives to establish or hedge positions, which may involve additional risks. In unfavorable circumstances, derivative tools may not be able to achieve the intended purpose effectively and may cause losses to the Fund.

Credit Risks

The Fund may invest in fixed income securities (such as bonds) issued by different companies and other entities. If so, the Fund may be exposed to the risk that individual issuers will default or fail to fulfill other obligations. Also, assets of the Fund may be custodized with prime broker(s) of the Fund, and the insolvency of any prime broker may affect the Fund's assets custodized with the prime broker.

Redemption Risks

If the investors redeem a large number of shares in the short term, it may cause the fund managers to have to rapidly liquidate securities, which may reduce the value of the Fund's assets or disrupt the investment manager's investment strategy.

Key Man Risk

The Fund's operations depend on the fund manager. If the key fund manager dies, leaves the company, loses legal capacity or goes bankrupt, or has major personnel changes, the operation of the Fund may be adversely affected.

Selected Terms of the Fund（基金主要条款）

Manager Name:	George Jiang, CFA	Management Fee:	2% for Tranche A, C, D 1.5% for Tranche B	Structure:	Master with a US feeder and non-US feeder
Management Firm:	Greenwoods Asset Management Hong Kong Limited	Performance Fee:	20% for Tranche A, C, D (accrued monthly and payable annually) 17.5% for Tranche B (accrued monthly and payable every 36 months)	Style:	Long/Short Equities
Fund Name:	Greenwoods China Healthcare Fund	Lockup:	Tranche A, C, D (Soft lock-up in first 12-months w/ 5% penalty fee) Tranche B (36 months hard lock-up)	Domicile:	Cayman Islands
Inception Date:	June 1st, 2015	High Water Mark:	Yes	Hurdle Rate:	No
Benchmark:	MSCI China Healthcare Index	Minimum Investment:	US$1,050,000	Redemption:	Monthly (3-month notice)
Subscription:	3rd Business Day before the 1st Business Day of the following month	Administrator:	BNP Paribas Securities Services	Prime broker:	Goldman Sachs
Currency:	USD	Audit Date:	Year End	Auditor:	Ernst & Young
Geographic Focus:	Greater China	Side pocket investment(s):	Tranche B, C and D only	Legal Advisor:	Maples and Calder (Hong Kong) LLP; Dechert; Rajah & Tann Singapore LLP
Bloomberg Ticker :	GRCHHEA KY	ISIN:	KYG4105R1092 (Tranche A); KYG4105R1258 (Tranche C);	KYG4105R1175(Tranche B); KYG4105R1332 (Tranche D)	

Greenwoods

景 林

Contacts（联系人）

Management Firm:

Greenwoods Asset Management Hong Kong Ltd

Suite 3601-05, 36/F, Jardine House,1 Connaught Place

Central, Hong Kong

Contact: Investor Relations Team

Tel: (852) 2111 2146

Fax: (852) 2907 6208

Email: IR@greenwoodsasset.com

www.greenwoodsasset.com

(Access to our website is available at email request)

Prime Brokers:

Goldman Sachs

68th Floor, Cheung Kong Centre

2 Queen's Road

Central, Hong Kong

Contact: Jason Liu

Tel: (852) 2978 7912

Email: jason.ch.liu@gs.com

(Contact info of other PBs are available at request)

Administrator:

BNP Paribas Securities Services

21/F, PCCW Tower, Taikoo Place

979 King's Road

Quarry Bay, Hong Kong

Contact: Vivian Li

Tel: (852) 2108 6321

Fax: (852) 2521 7653

Email: vivian.h.li@asia.bnpparibas.com

Auditor:

Ernst & Young

27/F, One Taikoo Place,

979 King's Road

Quarry Bay, Hong Kong

Contact: Alpha Tsang

Tel: (852) 2849 9173

Fax: (852) 2118 4288

Email: alpha.tsang@hk.ey.com

Disclaimer（免责声明）

The distribution of this monthly report and the offering of the Fund (as defined below) in certain jurisdictions may be restricted. This monthly report does not constitute (and may not be used for the purpose of) an offer or solicitation in any jurisdiction. No information contained in this monthly report shall constitute a recommendation or advice to a prospective investor in relation to its personal position.

This monthly report is confidential to the recipient. By accepting delivery of this monthly report, each recipient agrees not to reproduce, circulate or distribute this monthly report in whole or in part to any other person (apart from the recipient's professional advisers) without the prior written consent of any of the Greenwoods China Healthcare Master Fund, Greenwoods China Healthcare Fund and Greenwoods China Healthcare US Fund (collectively, the "Fund"), Greenwoods Asset Management Hong Kong Limited ("Manager") and/or any of its affiliates (together with the Manager and the Fund, "Greenwoods" , "we" or "us").

Information and opinions presented in this monthly report have been obtained or derived from sources believed by us to be reliable, but we give no warranty or assurance, and makes no representation as to the accuracy, completeness or reliability of any information contained in this monthly report. Past performance should not be taken as an indication or guarantee of future performance, and no representation or warranty, express or implied, is made regarding future performance. No guarantee or representation is made that the Fund's investment program, including, without limitation, the Fund's investment objectives, diversification strategies, or risk monitoring goals, will be successful, and investment results may vary substantially over time. Investment losses may occur from time to time. Information, opinions and estimates contained in this monthly report does not represent our judgment or views, and are subject to change without notice.

We accept no liability for loss arising from the use of the contents in this monthly report. This monthly report is not to be relied upon in substitution for the exercise of independent judgment.

UNITED STATES OF AMERICA

Warning – The contents of this monthly report have not been reviewed nor endorsed by the U.S. Securities and Exchange Commission, any state securities commission or any other U.S. regulatory authority.

This monthly report and its contents are highly confidential and may not be disclosed by the addressee to any other person. This monthly report is being provided to current investors for informational purposes only and is not, and may not be relied on in any manner as, legal, tax or investment advice or as an offer to sell or a solicitation of an offer to buy an interest in the Fund or any other investment vehicle sponsored by Greenwoods. A private offering of interests in a Fund will only be made pursuant to the Fund's offering documents, in accordance with the restrictions set out therein. Past performance is not a guarantee of future results. Investment in a Fund involves significant risks, including loss of the entire investment.

HONG KONG

Warning – The contents of this monthly report have not been reviewed nor endorsed by the Hong Kong Securities and Futures Commission or any regulatory authority in Hong Kong.

This monthly report is not intended to be distributed to and is not targeted towards the Hong Kong retail investors or to any person other than to "professional investors" within the meaning of Part I of Schedule 1 to the SFO and any rules made under the SFO, and does not constitute any offer to or solicitation for offer from persons that are not "professional investors".

The Fund has not been authorized by the SFC for sale to the public in Hong Kong, and may not be offered or sold in Hong Kong other than to: (1) professional investors within the meaning of the Securities and Futures Ordinance (Cap. 571, Laws of Hong Kong) (the "SFO") (including professional investors as defined by the Securities and Futures (Professional Investors) Rules); or (2) in circumstances which do not result in the document being a "prospectus" as defined in the Hong Kong Companies (Winding Up and Miscellaneous Provisions) Ordinance (Cap 32, the Laws of Hong Kong) ("CWUMPO") or which do not constitute an offer to the public for the purposes of CWUMPO or the SFO.

This monthly report is issued in Hong Kong by Greenwoods Asset Management Hong Kong Limited